

PREFACE

Profit in the share market is goblin treasure; at one moment, it is carbuncles, the next it is coal; one moment diamonds, and the next pebbles. Sometimes they are the tears that Aurora leaves on the sweet morning's grass; at other times, they are just tears.

—*José de la Vega*, *Confusion of Confusions*, 1688

ACCORDING TO THE RESPECTED MIT financial economist Andrew Lo (2012), “Buy and hold doesn’t work anymore. The volatility is too significant. Almost any asset can suddenly become much more risky.”¹ Even Warren Buffett’s Berkshire Hathaway, Inc. lost nearly 50% of its market value on two separate occasions since 1998.

Mohamed El-Erian, former head of PIMCO, said, “Diversification alone is no longer sufficient to temper risk. You need something more to manage risk well.” Diversification has long been called the only free lunch in investing. Now somebody needs to pay for that lunch. Because financial markets have become progressively more integrated and correlated, multiasset diversification can no longer protect investors from severe market losses. Such losses can cause investors to overreact and convert temporary setbacks into permanent ones by closing out their investments prematurely.

What we need now is a new paradigm that dynamically adjusts to market risk and keeps us safe from the vagaries of today’s highly volatile markets. We need a way to earn long-term above-market returns while limiting our downside exposure. This book shows how momentum investing can make that desirable outcome a reality.

Momentum, or persistence in performance, has been one of the most heavily researched finance topics over the past 20 years. Academic research